

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

LIQUOR LIABILITY COVERAGE

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

SCHEDULE

Liquor Liability Limits Of Insurance		Amount And Basis Of Liquor Liability Deductible
\$1,000,000	Each Common Cause	Per Claim
\$2,000,000	Aggregate	Per Common Cause
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.		

A. The following is added to **SECTION I – COVERAGES** as found in the COMMERCIAL GENERAL LIABILITY COVERAGE FORM:

COVERAGE D – LIQUOR LIABILITY

1. Insuring Agreement

- a.** We will pay those sums that the insured becomes legally obligated to pay as damages because of "injury" to which this insurance applies if liability for such "injury" is imposed on the insured by reason of the selling, serving, or furnishing of any alcoholic beverage. We will have the right and duty to defend the insured against any "suit" seeking those damages. However, we will have no duty to defend the insured against any "suit" seeking damages for "injury" to which this insurance does not apply. We may, at our discretion, investigate any "injury" and settle any claim or "suit" that may result. But:

- (1)** The amount we will pay for damages is limited as described in **SECTION III – LIMITS OF INSURANCE AND DEDUCTIBLE**; and
- (2)** Our right and duty to defend ends when we have used up the applicable limit of insurance in the payment of judgments or settlements.

No other obligation or liability to pay sums or perform acts or services is covered unless explicitly provided for under Supplementary Payments.

b. This insurance applies to "injury" only if:

- (1)** The "injury" occurs during the policy period in the "coverage territory"; and
- (2)** Prior to the policy period, no insured listed under paragraph **1.** of **SECTION II – WHO IS AN INSURED** and no "employee" authorized by you to give or receive notice of an "injury" or claim, knew that the "injury" had occurred, in whole or in part. If such a listed insured or authorized "employee" knew, prior to the policy period, that the "injury" occurred, then any continuation, change or resumption of such "injury" during or after the policy period will be deemed to have been known prior to the policy period.

c. "Injury" which occurs during the policy period and was not, prior to the policy period, known to have occurred by any insured listed under paragraph **1.** of **SECTION II – WHO IS AN INSURED** or any "employee" authorized by you to give or receive notice of an "injury" or claim, includes any continuation, change or resumption of that "injury" after the end of the policy period.

d. "Injury" will be deemed to have been known to have occurred at the earliest time when any insured listed under paragraph **1.** of **SECTION II – WHO IS AN INSURED** or any "employee"

authorized by you to give or receive notice of an "injury" or claim:

- (1) Reports all, or any part, of the "injury" to us or any other insurer;
- (2) Receives a written or verbal demand or claim for damages because of the "injury"; or
- (3) Becomes aware by any other means that "injury" has occurred or has begun to occur.

2. Exclusions

This insurance does not apply to:

a. Expected Or Intended Injury

"Injury" expected or intended from the standpoint of the insured. This exclusion does not apply to "bodily injury" resulting from the use of reasonable force to protect persons or property.

b. Workers' Compensation And Similar Laws

Any obligation of the insured under a workers' compensation, disability benefits or unemployment compensation law or any similar law.

c. Employer's Liability

"Bodily injury" to:

- (1) An "employee" of the insured arising out of and in the course of:
 - (a) Employment by the insured; or
 - (b) Performing duties related to the conduct of the insured's business; or
- (2) The spouse, child, parent, brother or sister of that "employee" as a consequence of subparagraph 2.c.(1) above.

This exclusion applies whether the insured may be liable as an employer or in any other capacity and to any obligation to share damages with or repay someone else who must pay damages because of the "injury".

d. Liquor License Not In Effect

"Injury" caused by, resulting from, or arising out of any alcoholic beverage sold, served or furnished while any required license is not in effect.

e. Your Product

"Injury" caused by, resulting from, or arising out of "your product". This exclusion does not apply to "injury" for which the insured or the insured's

indemnitees may be held liable by reason of:

- (1) Causing or contributing to the intoxication of any person;
- (2) The furnishing of alcoholic beverages to a person under the legal drinking age or under the influence of alcohol; or
- (3) Any statute, ordinance or regulation relating to the sale, gift, distribution or use of alcoholic beverages.

f. Other Insurance

Any "injury" with respect to which other insurance is afforded, or would be afforded but for the exhaustion of the limits of insurance.

This exclusion does not apply if the other insurance responds to liability for "injury" imposed on the insured by reason of the selling, serving, or furnishing of any alcoholic beverage.

g. War

"Injury", however caused, resulting from, or arising out of, whether directly or indirectly:

- (1) War, including undeclared or civil war;
- (2) Warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or
- (3) Insurrection, rebellion, revolution, usurped power, or action taken by governmental authority in hindering or defending against any of these.

h. Health Hazards

"Injury" for which any insured may be held liable by reason of "health hazards" caused by, resulting from, or arising out of the consumption of alcoholic beverages.

i. Abuse Or Molestation

"Injury" caused by, resulting from, or arising out of:

- (1) The actual, alleged, or threatened abuse or molestation, including but not limited to sexual abuse or molestation, of any person committed by anyone; or
- (2) Negligence or other wrongdoing in:

- (a) Hiring;
- (b) Training;
- (c) Employment;
- (d) Investigation;
- (e) Supervision;
- (f) Monitoring;
- (g) Reporting to the proper authorities, or failure to so report; or
- (h) Retention;

of a person for whom any insured is or ever was legally responsible and whose conduct would be excluded by subparagraph i.(1) above.

- (3) Actual, alleged, or threatened mental anguish, mental distress, or emotional injury that results from or accompanies the abuse or molestation, or sexual abuse or molestation, of any person committed by anyone.

j. Assault Or Battery

"Injury" caused by, resulting from, or arising out of:

- (1) The actual, alleged, or threatened assault or battery of any person committed by anyone;
- (2) Any act or omission by any insured in connection with the prevention or suppression of an assault or battery; or
- (3) Negligence or other wrongdoing in:
 - (a) Hiring;
 - (b) Training;
 - (c) Employment;
 - (d) Investigation;
 - (e) Supervision;
 - (f) Monitoring;
 - (g) Reporting to the proper authorities, or failure to so report; or
 - (h) Retention;

of a person for whom any insured is or ever was legally responsible and whose conduct would be excluded by subparagraphs j.(1) or j.(2) above.

- (4) Actual, alleged, or threatened mental anguish, mental distress, or emotional injury that results from or accompanies the assault or battery of any person committed by anyone.

- B. The following provision applies with respect to the insurance provided by this endorsement:

The insurance provided by the General Liability Enhancement Endorsement, or the Special General Liability Enhancement Endorsement, if attached to and made a part of this policy, does not apply with respect to the insurance provided by this endorsement.

- C. With respect to the insurance provided by this endorsement **SUPPLEMENTARY PAYMENTS – COVERAGES A AND B** as found in the COMMERCIAL GENERAL LIABILITY COVERAGE FORM is replaced by the following:

SUPPLEMENTARY PAYMENTS – COVERAGE D

We will pay, with respect to any claim we investigate or settle, or any "suit" against an insured we defend:

- 1. All expenses we incur.
- 2. The cost of bonds to release attachments, but only for bond amounts within the applicable limit of insurance. We do not have to furnish these bonds.
- 3. All reasonable expenses incurred by the insured at our request to assist us in the investigation or defense of the claim or "suit", including actual loss of earnings up to \$500 a day because of time off from work.
- 4. All court costs taxed against the insured in the "suit". However, these payments do not include attorneys' fees or attorneys' expenses taxed against the insured.
- 5. Prejudgment interest awarded against the insured on that part of the judgment we pay. If we make an offer to pay the applicable limit of insurance, we will not pay any prejudgment interest based on that period of time after the offer.
- 6. All interest on the full amount of any judgment that accrues after entry of the judgment and before we have paid, offered to pay, or deposited in court the part of the judgment that is within the applicable limit of insurance.
- 7. Expenses incurred by the insured for first aid administered to others at the time of an event to which this insurance applies.

These payments will not reduce the limits of insurance.

- D. With respect to the insurance provided by this endorsement **SECTION II – WHO IS AN INSURED** as found in the COMMERCIAL GENERAL LIABILITY COVERAGE FORM is replaced by the following:

SECTION II – WHO IS AN INSURED

- 1. If you are designated in the Declarations as:

- a. An individual, you and your spouse are insureds.
 - b. A partnership or joint venture, you are an insured. Your members, your partners, and their spouses are also insureds, but only with respect to the conduct of your business.
 - c. A limited liability company, you are an insured. Your members are also insureds, but only with respect to the conduct of your business. Your managers are insureds, but only with respect to their duties as your managers.
 - d. An organization other than a partnership, joint venture or limited liability company, you are an insured. Your "executive officers" and directors are insureds, but only with respect to their duties as your officers or directors. Your stockholders are also insureds, but only with respect to their liability as stockholders.
 - e. A trust, you are an insured. Your trustees are also insureds, but only with respect to their duties as trustees.
2. Each of the following is also an insured:
- a. Your "employees", other than either your "executive officers" (if you are an organization other than a partnership, joint venture or limited liability company) or your managers (if you are a limited liability company), but only for acts within the scope of their employment by you or while performing duties related to the conduct of your business. However, none of these "employees" is an insured for:
 - (1) "Injury":
 - (a) To you, to your partners or members (if you are a partnership or joint venture), to your members (if you are a limited liability company), or to a co-"employee" while that co-"employee" is either in the course of his or her employment or performing duties related to the conduct of your business;
 - (b) To the spouse, child, parent, brother or sister of that co-"employee" as a consequence of subparagraph **2.a.(1)(a)** above; or
 - (c) For which there is any obligation to share damages with or repay someone else who must pay damages because of the injury described in subparagraphs **2.a.(1)(a)** or **2.a.(1)(b)** above.
 - (2) "Property damage" to property:
 - (a) Owned or occupied by; or
 - (b) Rented or loaned;
 to that "employee", any of your other "employees", by any of your partners or members (if you are a partnership or joint venture), or by any of your members (if you are a limited liability company).
 - b. Any person or organization having proper temporary custody of your property if you die, but only:
 - (1) With respect to liability arising out of the maintenance or use of that property; and
 - (2) Until your legal representative has been appointed.
 - c. Your legal representative if you die, but only with respect to duties as such. That representative will have all your rights and duties under the insurance provided by this endorsement.
3. Any organization you newly acquire or form, other than a partnership, joint venture or limited liability company, and over which you maintain ownership or majority interest, will qualify as a Named Insured if there is no other similar insurance available to that organization. However:
- a. Coverage under this provision is afforded only until the 180th day after you acquire or form the organization or the end of the policy period, whichever is earlier; and
 - b. Coverage does not apply to "injury" that occurred before you acquired or formed the organization.
- No person or organization is an insured with respect to the conduct of any current or past partnership, joint venture or limited liability company that is not shown as a Named Insured in the Declarations.
- No person or organization included as an additional insured with respect to **COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE (SECTION I – COVERAGES)** is an insured for the purposes of the insurance provided by this endorsement.

- E. With respect to the insurance provided by this endorsement **SECTION III – LIMITS OF INSURANCE** as found in the COMMERCIAL GENERAL LIABILITY COVERAGE FORM is replaced by the following:

SECTION III – LIMITS OF INSURANCE AND DEDUCTIBLE

1. The Limits Of Insurance shown in the Schedule above and the rules below fix the most we will pay regardless of the number of:
 - a. Insureds;
 - b. Claims made or "suits" brought; or
 - c. Persons or organizations making claims or bringing "suits".
2. The Liquor Liability Aggregate Limit shown in the Schedule above is the most we will pay for all "injury" as the result of the selling, serving, or furnishing of alcoholic beverages.
3. Subject to the Liquor Liability Aggregate Limit, the Liquor Liability Each Common Cause Limit shown in the Schedule above is the most we will pay for all "injury" sustained by one or more persons or organizations as the result of the selling, serving, or furnishing of any alcoholic beverage to any one person.
4. The Liquor Liability Limits Of Insurance described in paragraphs 2. and 3. above apply separately to each consecutive annual period and to any remaining period of less than 12 months, starting with the beginning of the policy period shown in the Declarations, unless the policy period is extended after issuance for an additional period of less than 12 months. In that case, the additional period will be deemed part of the last preceding period for purposes of determining the Limits Of Insurance.
5. **Deductible Provisions**
 - a. Our obligation under **COVERAGE D – LIQUOR LIABILITY** to pay damages on your behalf applies only to the amount of damages in excess of any deductible amount shown in the Schedule above. If no deductible is shown in the Schedule above then no deductible applies to the coverage provided by this endorsement.
 - b. The Liquor Liability Deductible may apply on either a Per Claim or a Per Common Cause basis. The Liquor Liability Deductible amount stated in the Schedule above applies as follows:

(1) **Per Claim.** If the deductible amount indicated in the Schedule above is on a Per Claim basis, that deductible applies under **COVERAGE D – LIQUOR LIABILITY** to all "injuries" sustained by any one person or organization.

(2) **Per Common Cause.** If the deductible amount indicated in the Schedule above is on a Per Common Cause basis, that deductible amount applies under **COVERAGE D – LIQUOR LIABILITY** to all damages because of "injury" as the result of the selling, serving, or furnishing of any alcoholic beverage to any one person, regardless of the number of persons or organizations who sustain damages.

- c. The terms of the insurance provided by this endorsement, including those with respect to:
 1. Our right and duty to defend the insured against any "suit" seeking those damages; and
 2. Your duties in the event of an "injury", claim, or "suit"apply irrespective of the application of the deductible amount.
- d. We may pay any part or all of the deductible amount to effect settlement of any claims or "suit" and, upon notification of the action taken, you shall promptly reimburse us for such part of the deductible amount as has been paid by us.

- F. With respect to the insurance provided by this endorsement **SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS** as found in the COMMERCIAL GENERAL LIABILITY COVERAGE FORM is replaced by the following:

SECTION IV – LIQUOR LIABILITY CONDITIONS

1. Bankruptcy

Bankruptcy or insolvency of the insured or of the insured's estate will not relieve us of our obligations under the insurance provided by this endorsement.

2. Duties In The Event Of Injury, Claim Or Suit

- a. You must see to it that we are notified as soon as practicable of an "injury" which may result in a claim. To the extent possible, notice should include:

- (1) How, when and where the "injury" took place;
 - (2) The names and addresses of any injured persons and witnesses; and
 - (3) The nature and location of any "injury".
- b. If a claim is made or "suit" is brought against any insured, you must:
- (1) Immediately record the specifics of the claim or "suit" and the date received; and
 - (2) Notify us as soon as practicable.
- You must see to it that we receive written notice of the claim or "suit" as soon as practicable.
- c. You and any other involved insured must:
- (1) Immediately send us copies of any demands, notices, summonses or legal papers received in connection with the claim or "suit";
 - (2) Authorize us to obtain records and other information;
 - (3) Cooperate with us in the investigation or settlement of the claim or defense against the "suit"; and
 - (4) Assist us, upon our request, in the enforcement of any right against any person or organization which may be liable to the insured because of "injury" to which this insurance may also apply.
- d. No insured will, except at that insured's own cost, voluntarily make a payment, assume any obligation, or incur any expense, other than for first aid, without our consent.

3. Legal Action Against Us

No person or organization has a right under the insurance provided by this endorsement:

- a. To join us as a party or otherwise bring us into a "suit" asking for damages from an insured; or
- b. To sue us on the insurance provided by this endorsement unless all of its terms have been fully complied with.

A person or organization may sue us to recover on an agreed settlement or on a final judgment against an insured; but we will not be liable for damages that are not payable under the terms of the insurance provided by this endorsement or that are in excess of the applicable limit of insurance. An agreed settlement means a settlement and release of

liability signed by us, the insured and the claimant or the claimant's legal representative.

4. Other Insurance

If other valid and collectible insurance is available to the insured for a loss we cover under the insurance provided by this endorsement, our obligations are limited as follows:

a. Primary Insurance

This insurance is primary. Our obligations are not affected unless any of the other insurance is also primary. Then, we will share with all that other insurance by the method described in subparagraph 4.b. below.

b. Method Of Sharing

If all of the other insurance permits contribution by equal shares, we will follow this method also. Under this approach each insurer contributes equal amounts until it has paid its applicable limit of insurance or none of the loss remains, whichever comes first.

If any of the other insurance does not permit contribution by equal shares, we will contribute by limits. Under this method, each insurer's share is based on the ratio of its applicable limit of insurance to the total applicable limits of insurance of all insurers.

5. Premium Audit

- a. We will compute all premiums for the insurance provided by this endorsement in accordance with our rules and rates.
- b. Premium shown for this insurance as advance premium is a deposit premium only. At the close of each audit period we will compute the earned premium for that period and send notice to the first Named Insured. The due date for audit and retrospective premiums is the date shown as the due date on the bill. If the sum of the advance and audit premiums paid for the policy period is greater than the earned premium, we will return the excess to the first Named Insured.
- c. The first Named Insured must keep records of the information we need for premium computation, and send us copies at such times as we may request.

6. Representations

By accepting this policy, you agree:

- a. The statements in the Declarations are accurate and complete;
- b. Those statements are based upon representations you made to us; and
- c. We have issued this policy in reliance upon your representations.

7. Separation Of Insureds

Except with respect to the Liquor Liability Limits Of Insurance, and any rights or duties specifically assigned in this endorsement to the first Named Insured, this insurance applies:

- a. As if each Named Insured were the only Named Insured; and
- b. Separately to each insured against whom claim is made or "suit" is brought.

8. Transfer Of Rights Of Recovery Against Others To Us

If the insured has rights to recover all or part of any payment we have made under the insurance provided by this endorsement, those rights are transferred to us. The insured must do nothing after loss to impair them. At our request, the insured will bring "suit" or transfer those rights to us and help us enforce them.

9. When We Do Not Renew

If we decide not to renew the Commercial General Liability Coverage Part to which this endorsement applies, we will mail or deliver to the first Named Insured shown in the Declarations written notice of the nonrenewal not less than 30 days before the expiration date.

If notice is mailed, proof of mailing will be sufficient proof of notice.

- G. With respect to the insurance provided by this endorsement **SECTION V – DEFINITIONS** as found in the COMMERCIAL GENERAL LIABILITY COVERAGE FORM is replaced by the following:

SECTION V – DEFINITIONS

- 1. "Bodily injury" means bodily injury, sickness or disease sustained by a person, including death resulting from any of these at any time.
- 2. "Coverage territory" means:
 - a. The United States of America (including its territories and possessions), Puerto Rico and Canada;
 - b. International waters or airspace, but only if the "injury" occurs in the course of travel or transportation between any places included in subparagraph 2.a. above; or

- c. All other parts of the world if the "injury" arises out of:

(1) Goods or products made or sold by you in the territory described in subparagraph 2.a. above; or

(2) The activities of a person whose home is in the territory described in subparagraph 2.a., but is away for a short time on your business;

provided the insured's responsibility to pay damages is determined in a "suit" on the merits, in the territory described in subparagraph 2.a. above or in a settlement we agree to.

- 3. "Employee" includes a "leased worker". "Employee" does not include a "temporary worker".
- 4. "Executive officer" means a person holding any of the officer positions created by your charter, constitution, bylaws or any other similar governing document.
- 5. "Health hazards" means alcohol-induced "bodily injury", including but not limited to:
 - a. Fetal alcohol syndrome (FAS), physical or mental birth defects, which includes but is not limited to growth deficiency, heart defects, malformed facial features, and mental retardation, resulting from the consumption of alcoholic beverages during pregnancy;
 - b. Alcohol-related diseases, such as alcoholism, cirrhosis of the liver, alcoholic hepatitis, heart disease, cancer, and pancreatitis;
 - c. Other metabolic effects of alcohol abuse, including but not limited to, brain damage, impaired vision, impaired sexual function, sluggish circulation, malnutrition, water retention, skin disorders, weakening of bones and muscles, ulcers, decreased resistance to infection, and psychological or mental injury; or
 - d. Suicide of any person.
- 6. "Injury" means damages because of "bodily injury" and "property damage", including damages for care, loss of services or loss of support.
- 7. "Leased worker" means a person leased to you by a labor leasing firm under an agreement between you and the labor leasing firm, to perform duties related to the conduct of your business. "Leased worker" does not include a "temporary worker".
- 8. "Property damage" means:

- a. Physical injury to tangible property, including all resulting loss of use of that property. All such loss of use shall be deemed to occur at the time of the physical injury that caused it; or
 - b. Loss of use of tangible property that is not physically injured. All such loss of use shall be deemed to occur at the time of the occurrence that caused it.
- 9. "Suit" means a civil proceeding in which damages because of "injury" to which this insurance applies are alleged. "Suit" includes:
 - a. An arbitration proceeding in which such damages are claimed and to which the insured must submit or does submit with our consent; or
 - b. Any other alternative dispute resolution proceeding in which such damages are claimed and to which the insured submits with our consent.
- 10. "Temporary worker" means a person who is furnished to you to substitute for a permanent "employee" on leave or to meet seasonal or short-term workload conditions.
- 11. "Your product":
 - a. Means:
 - (1) Any goods or products, other than real property, manufactured, sold, handled, distributed or disposed of by:
 - (a) You;
 - (b) Others trading under your name; or
 - (c) A person or organization whose business or assets you have acquired; and
 - (2) Containers (other than vehicles), materials, parts or equipment furnished in connection with such goods or products.
 - b. Includes:
 - (1) Warranties or representations made at any time with respect to the fitness, quality, durability, performance or use of "your product"; and
 - (2) The providing of or failure to provide warnings or instructions.
 - c. Does not include vending machines or other property rented to or located for the use of others but not sold.